

MEMO

CA-PEP01 Scope & Commercial Position Record — July 20 Discussion Prep

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CLIENT Internal
PROJECT PepsiCo/SDG&E
STATUS Final

CA-PEP01 · PepsiCo/SDG&E Interconnection Support · Prepared for July 20 Commercial Discussion

Prepared by: Energize Solutions Inc. · Date: July 17, 2026 · Project ID: PJ25060008

COMMON GROUND

- The project timeline has extended significantly beyond original expectations.
- The original Phase 1/2/3 proposals remain the governing reference for scope and pricing.
- Energize is not seeking to re-bill for deliverables already completed and paid under Phase 1/2/3.
- The technical architecture for SWBD#1 is now substantially converged between Energize and B&V.
- RDB configuration, FAT, SAT, and commissioning remain ahead and both sides want them completed efficiently.

SECTION 1 — WHAT THE ORIGINAL PROPOSALS ACTUALLY SAY

The table below is sourced directly from Energize’s original Phase 1, 2, and 3 proposals (Project ID PJ25060008). This is the scope baseline both parties agreed to reference.

ACTIVITY	SOURCE (PROPOSAL REF.)	WHAT THE ORIGINAL DOCUMENT ACTUALLY SAYS	RESPONSIBILITY
SEL-700G relay procurement, installation & commissioning	Phase 1 App. H / Phase 2 App. I	NOT Energize scope — explicitly excluded (“Not supplied, configured, or commissioned”)	Client / EPC / OEM responsibility

ACTIVITY	SOURCE (PROPOSAL REF.)	WHAT THE ORIGINAL DOCUMENT ACTUALLY SAYS	RESPONSIBILITY
52a/52b auxiliary contact signal wiring	Phase 1 App. H	NOT Energize scope — explicitly excluded (“Not responsible for signal wiring”)	Client / EPC / OEM responsibility
Main breaker model, control terminals, auxiliary contacts	Phase 1 App. H	NOT Energize scope — explicitly excluded	Client / EPC / OEM responsibility
Control logic design, C1–C7 interlock criteria, DO/DI wiring diagrams	Phase 1 App. H / T01–T08	Energize scope — included and delivered	Energize (complete)
Phase 3 on-site/remote commissioning support	Phase 3 §X.3	5 business days (blended remote + local), \$7,500	Energize — base scope, time-boxed
SEL/SEL-735 .RDB configuration file preparation	Phase 3 P3.2	\$3,000 — assumes device installed, wired, and reachable per Phase 2 design	Energize — base scope, conditional on site readiness
Final Acceptance Test (FAT) & punch list resolution	Phase 3 P3.4	\$1,200 — single FAT cycle assumed	Energize — base scope, single cycle only

SECTION 2 — THREE-BUCKET COMMERCIAL MODEL

This structure separates what is already included, what has already happened outside scope, and what remains an open commercial question for the future — so each can be resolved on its own terms.

BUCKET 1 — Remaining Base-Scope Work (No Additional Charge)

- One (1) Final Acceptance Test cycle, per Phase 3 P3.4, once design is frozen and site is ready.
- One (1) round of on-site/remote commissioning support, up to 5 business days, per Phase 3 P3.1.
- SEL-700G/SEL-735 .RDB configuration file preparation, per Phase 3 P3.2 — conditional on devices being installed, wired, and reachable, as stated in the original proposal.

Energize will not re-bill for these once the above conditions are met. Repeated cycles, remobilization, or validation of a re-opened design are treated under Bucket 3, not this bucket.

BUCKET 2 — Work Already Performed Outside Original Scope (One-Time Reconciliation)

- SEL-700G protection logic review and re-review across four cycles (May 4 – Jul 7), covering work explicitly excluded from Energize scope per Phase 1 Appendix H (“SEL700G Relay Procurement & Commissioning — Not supplied, configured, or commissioned by Energize”).
- 52a/52b signal path architecture analysis and re-analysis — explicitly excluded from Energize scope per the same appendix (“Not responsible for signal wiring”).
- Repeated rescheduling and standby time for technical review calls (May 11–14, 2026) that did not proceed as planned.

- Development and issuance of supplementary technical memoranda (PUB-2605-0038-MEM, PUB-2607-0001-MEM, PUB-2607-0002-MEM) required specifically because B&V's own approved design (Feb 3, 2026) was reopened and revised (May 29 – Jul 7, 2026).
- Multi-party coordination and status-chasing across B&V, Ravenvolt, EVESCO, and GrayBirch beyond the single-point-of-contact model assumed in the original proposals.

*These are one-time items tied to the May–July 2026 ECO cycle, representing approximately 7.5 engineering-days of review, analysis, and documentation beyond original scope. **Recommended resolution: a single reconciliation payment of USD 15,000 (comparable to the full Phase 3 commissioning value of USD 16,500), via a one-time change order — not a recurring fee.***

BUCKET 3 — Future Uncertainty: Continued Availability & Additional Cycles

- Energize's original proposals assumed continuous execution: Phase 2 estimated 20 business days; Phase 3 estimated a single 5-day commissioning window ending T0+20 days. Neither assumed indefinite pauses, repeated design reopening, or extended standby.
- If EVESCO/B&V require Energize to remain available on short notice through an undefined FAT/SAT timeline, a resource-availability arrangement is appropriate — this is what the June 10 proposal (\$7,500/mo or \$13,000/mo) was intended to cover.
- Alternatively, Energize can operate on a pause/remobilize basis: no standing fee, but response time is not guaranteed and remobilization is scheduled per then-available engineering capacity.
- Any additional FAT cycles, repeated validation due to design changes after this memorandum, or new protection/architecture questions are billed under this bucket, not treated as included base scope.

This bucket is independent of Bucket 2. Resolving Bucket 2 does not itself resolve how Energize is compensated for continued availability going forward — that requires a separate decision between a retainer, milestone billing, or pause/remobilize.

SECTION 3 — RESPONSE TO EVESCO'S POSITION

ON "DURATION ALONE DOES NOT CONSTITUTE SCOPE CHANGE"

Energize agrees with this principle. The claim in Bucket 2 is not that the project took longer, but that specific activities performed — SEL-700G logic review, 52a/52b architecture analysis — fall outside the scope boundary set out in Phase 1 Appendix H and Phase 2 Appendix I of Energize's own original proposals. These documents state plainly that SEL-700G configuration and 52a/52b wiring are client/EPC/OEM responsibilities, not Energize deliverables. The basis for the Bucket 2 request is the content of the work, not its duration.